

MOVE OVER METROS, MAKE ROOM FOR RURAL

Should technology solution providers target the hitherto neglected rural India for increase in their revenues from new business avenues



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Technology-enabled services have already touched the lives of rural India, though these are yet to explode.

"Seventy per cent of the Indian population lives in rural areas. This segment, commonly referred to as the 'bottom of the pyramid,' presents a huge opportunity for growth. Thus it's important for technology solution providers to take this segment into account while drawing the product/market roadmap," says Sanjeev Keskar, country manager-sales, Freescale Semiconductor India.

It is important to bring tech-enabled facilities to the rural population to have an inclusive growth, which is the

priority for the government too.

"We all know that the next 300 to 400 million mobile subscriber additions in India will predominantly come from the rural and suburban areas. The service providers are considering this aspect in their network planning and looking to have solutions from compa-

nies which can address the challenges in rolling out networks in the rural areas," says A. Sethu Raman, executive director of Huawei Technologies India.

Unlike the end-product manufacturers, most of the technology solution providers do not expect direct revenue from this segment. Commenting on the market dynamics, Raman says, "As we do not directly provide services to the subscribers, we do not have any revenue target as such. However, we provide the telecom infrastructure and solutions to our customers, who, in turn, provide services to the large subscriber base."

Need-based development

It is imperative for technology solution providers to put together a blueprint for coordinating with the end service providers in order to offer services to the rural customers in a cost-effective manner, where the average revenue per user (ARPU) is expected to be lower than the country average. They should offer innovative solutions that bring down the total cost of ownership for the service providers by 30 to 40 per cent.

Rural market has different requirements, price phenomena and challenges compared to the urban market and thus needs different products

—Sanjeev Keskar, country manager-sales, Freescale Semiconductor India

